



MEMORANDUM

TPA - No. 2011-0124

The Philippine Stock Exchange, Inc.

☐ Trading Rules	☐ Computer Systems Update
☐ Membership Rules	☐ Administrative Matters
☐ Listing Rules	☒ Others: <u>Trading Schedule</u>

Date : **December 28, 2011**

Subject : **AMENDED SECTIONS OF THE IMPLEMENTING GUIDELINES OF THE REVISED TRADING RULES**

In relation to Memorandum TPA 2011-0108 dated December 06, 2011 regarding the new trading hours scheduled on the first trading day of 2012, attached is a copy of summary of amended sections in the Implementing Guidelines of the Revised Trading Rules. Aforesaid amendment shall be in effect simultaneous with the implementation of the adjusted trading hours.

For your information and guidance.

(Original Signed)
RACHELLE C. BLANCH
VP/Head, Market Operations Division

Noted by:

(Original Signed)
HANS B. SICAT
President / CEO

FID/CSD	Market Regulation Division	Issuer Regulation Division	Technology Division	Market Operations Division	M r	Office of the General Counsel
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AMENDED SECTIONS OF THE IMPLEMENTING GUIDELINES OF THE REVISED TRADING RULES

II. TRADING HOURS (See Article II, Section 2 of the Revised Trading Rules)

For whole day trading

8:45 am NATIONAL ANTHEM

9:00 am PRE-OPEN PERIOD

- No matching of Orders can occur during this period, but TPs can enter, modify, or cancel Orders, which will be processed based on the pre-opening algorithm.

9:15 am – 9:30 am PRE-OPEN NO-CANCEL PERIOD

- TPs are allowed to enter Orders but cannot cancel or modify Orders during this period.

9:30 am OPENING PERIOD

- The period when the Opening Price for all Securities is calculated. During the Opening Period, the Order book is frozen and Order entry, modification and cancellation by TPs are not allowed.

9:30am – 12:00 nn CONTINUOUS TRADING

- A Period when Orders are automatically matched at the Best Price in accordance with the Revised Trading Rules.

12:00 nn – 1:30 pm MARKET RECESS

- During this period, trading for all Securities is halted. TPs cannot post, modify or cancel Orders during this period.

1:30 pm – 3:17 pm MARKET RESUMES/ AFTERNOON SESSION

- During this period, Orders are automatically matched at the Best Price in accordance with the Revised Trading Rules. This period operates in the same way as the period of Continuous Trading.

3:17 pm – 3:19 pm PRE-CLOSE AUCTION PERIOD

- This period is the same as the Pre-Open Auction Period. During this period, TPs can enter, modify or cancel Orders.

3:19 pm – 3:20 pm PRE-CLOSE NO-CANCEL PERIOD

- During this period, TPs are allowed to enter Orders but cannot cancel or modify Orders.

3:20 pm – 3:30 pm

RUN-OFF/ TRADING-AT-LAST

- TPs can enter Limit Orders at the Closing Price only and matching is executed only at the Closing Price.

XI. ORDER MODIFICATION (See Article IV, Section 13 of the Revised Trading Rules)

1. Order modification is allowed from Pre-Open Period to Trading-at-Last Period, except during the Pre-Open No-Cancel Period, Pre-Close No-Cancel Period and the Market Recess for whole day trading.

XII. ORDER CANCELLATION (See Article IV, Section 14 of the Revised Trading Rules)

1. The TP may cancel active Orders from Pre-Open Period to Trading-at-Last Period, except during the Pre-Open No-Cancel Period, Pre-Close No-Cancel Period and Market Recess for whole day trading.

XVI. AGGREGATION OF CLIENT ORDERS (See Article IV, Section 4 of the Revised Trading Rules)

1. The TP must distribute the Securities traded among its clients through the facilities of the Exchange:
 - a. In the case of half-day trading and there is a change in Nationality Flag of the account code/s, unbundling of aggregated account shall be made no later than 5pm of T+0.
 - b. In the case of half-day trading and there is no change in Nationality Flag of the account code/s, unbundling of aggregated account shall be made no later than 12 noon of T+1.
 - c. In the case of whole-day trading and there is a change in Nationality Flag of the account code/s, unbundling of aggregated account shall be made no later than 2:00 pm of T+1.
 - d. In the case of whole-day trading and there is no change in Nationality Flag of the account code/s, unbundling of aggregated account shall be made no later than 5:00 pm of T+1.

XVII. TRADE AMENDMENT (See Article IV, Section 15 of the Revised Trading Rules)

1. Amendment of trades shall be made through the facilities of the Exchange and will be subject to the approval of the PSE Market Control Department. Failure to comply with the foregoing shall be considered as a minor violation, subject to penalties as stated in Article IX of the Revised Trading Rules.
2. In the case of half-day trading and there is a change in Nationality Flag of the account code/s, amendments of trades shall be made no later than 5pm of T+0.

3. In the case of half-day trading and there is no change in Nationality Flag of the account code/s, amendments of trades shall be made no later than 12 noon of T+1.
4. In the case of whole-day trading and there is a change in Nationality Flag of the account code/s, amendments of trades shall be made no later than 2:00 pm of T+1.
5. In the case of whole-day trading and there is no change in Nationality Flag of the account code/s, amendments of trades shall be made no later than 5:00 pm of T+1.

XVIII. BLOCK SALES (See Article VI, Section 3 of the Revised Trading Rules)

4. The TP can execute the Regular Block Sale anytime during trading hours; provided, that the TP has submitted, before Run-Off Period, a duly executed block sale application for Regular Block Sales before actual execution of the Block Sale. The Exchange shall approve or disapprove the regular Block Sale within thirty (30) minutes from receipt of the application form. The prior approval of the PSE MOD head or his duly authorized representative is required.

XX. MARKET HALT (See Article VIII, Section 2 of the Revised Trading Rules)

1. The Exchange may halt trading in the market if at least one-third of the TP-users cannot access the Trading System due to Trading System problems such as, but not limited to, server failure, network/link problems, or application errors.
2. The Exchange shall inform all TPs of the lifting of the Market Halt at least five (5) minutes before actual lifting.
3. In the event of a Market Halt lasting thirty (30) minutes or more, the Exchange shall extend the trading hours. *However, trading extension will no longer be applicable for whole day trading except for purposes of completing the remaining market phases if the case warrants.*

Extension of trading hours shall be based on the duration of the Market Halt and is outlined as follows:

Duration of Market Halt	Extension
30 minutes to 50 minutes	30 minutes
Beyond 50 minutes	1 hour

5. In reference to extension of trading hours, in the event Market Halt is triggered from 9:00 am to 9:15 am, the first ten (10) minutes of the extension shall be allotted to Market Pre-Open Period upon resumption of trading. The 10-minute allotment shall comprise five (5) minutes Pre-Open Period and five (5) minutes Pre-Open No Cancel Period.
6. In the event Market Halt is triggered from 9:15:01 am to 9:30 am, 5 minutes of the extension shall be allotted to Pre-Open No Cancel Period.
7. In the event of Market Halt occurring in the last twenty nine (29) minutes of the Trading Day, the following guidelines shall apply:

- a. In the event the Market Halt is triggered during Continuous Trading Phase and trading in the market resumes before Market Pre-close with less than ten (10) minutes remaining for the Continuous Trading Phase, the duration of Market Pre-Close and Trading-at-Last shall be reduced to two (2) minutes and five (5) minutes, respectively. The remaining market periods will be scheduled as follows:

Continuous Trading	From time of resumption to 12:03 pm – Half Day 03:23 pm – Whole Day
Market Pre-Close	12:03 pm to 12:04 pm – Half Day 03:23 pm to 03:24 pm – Whole Day
Market Pre-Close No Cancel	12:04 pm to 12:05pm – Half Day 03:24 pm to 03:25 pm – Whole Day
Trading-at-Last	12:05 nn to 12:10 pm – Half Day 03:25 pm to 03:30 pm – Whole Day

- b. In the event the Market Halt is triggered during Continuous Trading Phase and trading in the market resumes during Market Pre-Close, the duration of Market Pre-Close and Trading-at-Last shall be reduced to two (2) minutes and five (5) minutes, respectively. The remaining market periods will be scheduled as follows:

Continuous Trading	From time of resumption to 12:03 pm – Half Day 03:23 pm – Whole Day
Market Pre-Close	12:03 pm to 12:04 pm – Half Day 03:23 pm to 03:24 pm – Whole Day
Market Pre-Close No Cancel	12:04 pm to 12:05 pm – Half Day 03:24 pm to 03:25 pm – Whole Day
Trading-at-Last	12:05 pm to 12:10 pm – Half Day 03:25 pm to 03:30 pm - Whole Day

- c. In the event the Market Halt is triggered during Continuous Trading Phase and trading in the market resumes during Trading-at-Last, there shall be a ten (10)-minute extension. The remaining market periods will be scheduled as follows:

Continuous Trading	From time of resumption to 12:13 pm – Half Day 03:33 pm – Whole Day
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Market Pre-Close	12:13 pm to 12:14 pm – Half Day 03:33 pm to 03:34 pm – Whole Day
Market Pre-Close No Cancel	12:14 pm to 12:15 pm – Half Day 03:34 pm to 03:35 pm – Whole Day
Trading-at-Last	12:15 pm to 12:20 pm – Half Day 03:35 pm to 03:40 pm – Whole Day

- d. In the event Market Halt is triggered during the Market Pre-Close Phase and trading in the market resumes during the Trading-at-Last Period, there shall be a five (5) minute extension. The remaining market periods will be set as follows:

Market Pre-Close	1 minute from time of resumption
Market Pre-Close No Cancel	1 minute after Market Pre-Close
Trading-at-Last	For Half-day Trading: From end of Market Pre-Close No Cancel to 12:15 pm For Whole Day Trading: From end of Market Pre-Close No Cancel to 3:35 pm

In the event that market halt will last for more than two hours or beyond 12:25 pm for half day and 03:45 pm for whole day whichever comes first, the Exchange will decide whether to suspend or cancel the trading for the day as the case may warrant.